JOYLIVE ASIA PACIFIC PTE. LTD.
(Registration No. 201602070G)
(Incorporated in the Republic of Singapore)

AUDITED FINANCIAL STATEMENTS FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2024

T&C PARTNERS
CHARTERED ACCOUNTANTS

JOYLIVE ASIA PACIFIC PTE. LTD.
(Incorporated in the Republic of Singapore)

CORPORATE INFORMATION
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2024

Directors

Teo Eng Hock
Hong Fei

Company Secretary

Yang Yujie

Registered Office

26B Serangoon Avenue 1
Singapore 556143

Independent Auditor

T&C Partners

Engagement partner: Chor Chung Heong

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JOYLIVE ASIA PACIFIC PTE. LTD.
(Incorporated in the Republic of Singapore)

DIRECTORS' STATEMENT

The directors are pleased to present their statement to the member together with the audited financial statements of Joylive Asia Pacific Pte. Ltd. (the "Company") for the financial year ended 31 December 2024.

1. OPINION OF THE DIRECTORS

In the opinion of the directors,

(a) the financial statements of the Company are drawn up so as to give a true and fair view of the financial position of the Company as at 31 December 2024 and the financial performance, changes in equity and cash flows of the Company for the year then ended; and

(b) at the date of this statement, there are reasonable grounds to believe that the Company will be able to pay its debts as and when they fall due.

2. DIRECTORS

The directors of the Company in office at the date of this statement are:

Teo Eng Hock
Hong Fei (Appointed on 2 July 2024)

3. ARRANGEMENTS TO ENABLE DIRECTORS TO ACQUIRE SHARES OR DEBENTURES

Neither at the end of nor at any time during the financial year was the Company a party to any arrangement whose object are, or one of whose objects is, to enable the directors of the Company to acquire benefits by means of the acquisitions of shares in, or debentures of, the Company or any other body corporate.

4. DIRECTORS' INTERESTS IN SHARES OR DEBENTURES

According to the register of directors' shareholdings kept by the Company under Section 164 of the Singapore Companies Act 1967 (the Act), the directors of the Company who held office at the end of the financial year had no interests in the shares or debentures of the Company and its related corporations.

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JOYLIVE ASIA PACIFIC PTE. LTD.
(Incorporated in the Republic of Singapore)

DIRECTORS' STATEMENT (CONT'D)

5. SHARE OPTIONS

There were no share options granted during the financial year to subscribe for unissued shares of the Company.

There were no shares issued during the financial year by virtue of the exercise of options to take up unissued shares of the Company.

There were no unissued shares of the Company under option at the end of the financial year.

6. AUDITOR

T&C Partners has expressed its willingness to accept re-appointment as auditor.

The Board of Directors

DocuSigned by:
10BC68AD859C448...

Teo Eng Hock
Director

Hong Fei
Director

Singapore

30 APR 2025

T&C PARTNERS
CHARTERED ACCOUNTANTS

T&C PARTNERS
111, North Bridge Road #12-05/06 Peninsula Plaza Singapore 179098
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INDEPENDENT AUDITOR'S REPORT
TO THE MEMBER OF JOYLIVE ASIA PACIFIC PTE. LTD.
(Incorporated in the Republic of Singapore)

Report on the Audit of the Financial Statements

Disclaimer Opinion

We were engaged to audit the financial statements of Joylive Asia Pacific Pte. Ltd. (the "Company"), which comprise the statement of financial position of the Company as at 31 December 2024, and the statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including material accounting policy information.

We do not express an opinion on the accompanying financial statements of the Company. Because of the significance of the matter described in the *"Basis for Disclaimer of Opinion"* section of our report, we have not been able to obtain sufficient appropriate audit evidence to provide a basis for an audit opinion on these financial statements.

Basis for Disclaimer of Opinion

Going concern

The Company incurred a net loss of S$4,891 during the year ended 31 December 2024 and, as of that date, the Company's total current liabilities exceeded its total current assets by S$270,360 (2023: S$265,469) and capital deficiency of S$97,391 (2023: S$92,500). These factors indicate the existence of material uncertainties which cast a significant doubt on the Company's ability to operate as going concern. This may affect the validity of the going concern assumption on which the accompanying financial statements is prepared. The validity of the going concern assumption on which the accompanying financial statements of the Company is prepared depends, inter alia, on its ability to raise additional capital from the existing shareholder.

We were not provided with sufficient appropriate audit evidence to assess whether the going concern assumption used by the Company is appropriate. In the event the going concern basis of preparing the financial statements is inappropriate, adjustment will have to be made to restate the carrying values of the assets to their recoverable amounts and to provide for further liabilities which may arise. No such adjustments have been made in the financial statements.

A similar qualification was also expressed in the prior year audited financial statements. Any adjustment arising from the satisfactory resolution of this matter reported may have an effect on the opening balances and a consequently effect on the financial statements and financial performance for the current financial year.

T&C PARTNERS
CHARTERED ACCOUNTANTS

INDEPENDENT AUDITOR'S REPORT
TO THE MEMBER OF JOYLIVE ASIA PACIFIC PTE. LTD.
(Incorporated in the Republic of Singapore)

Responsibilities of Management and Directors for the Financial Statements

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with the provisions of the Companies Act 1967 (the Act) and Financial Reporting Standards in Singapore (FRSs), and for devising and maintaining a system of internal accounting controls sufficient to provide a reasonable assurance that assets are safeguarded against loss from unauthorised use or disposition; and transactions are properly authorised and that they are recorded as necessary to permit the preparation of true and fair financial statements and to maintain accountability of assets.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

The directors' responsibilities include overseeing the company's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our responsibility is to express an opinion on these financial statements based on our audit in accordance with Singapore Standards on Auditing. Because of the matter described in the *"Basis for Disclaimer of Opinion"* section of our report, however, we were not able to obtain sufficient appropriate audit evidence to provide a basis for an audit opinion.

We are independent of the Company in accordance with the Accounting and Corporate Regulatory Authority (ACRA) *Code of Professional Conduct and Ethics for Public Accountants and Accounting Entities* (ACRA Code) together with the ethical requirements that are relevant to our audit of the financial statements in Singapore, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the ACRA Code.

Report on Other Legal and Regulatory Requirements

In our opinion, except for the effect of matter described in the *"Basis for Disclaimer of Opinion"* section of our report, the accounting and other records required by the Act to be kept by the Company have been properly kept in accordance with the provisions of the Act.

T&C Partners
Public Accountants and
Chartered Accountants

Singapore
30 April 2025

JOYLIVE ASIA PACIFIC PTE. LTD.
(Incorporated in the Republic of Singapore)

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2024

	Note	2024 S$	2023 S$
Revenue	(4)	-	444,341
Cost of sales		-	(355,186)
Gross profit		-	89,155
Other income	(5)	-	2,645
Other expenses		(4,891)	(8,655)
(Loss)/Profit before tax	(6)	(4,891)	83,145
Income tax expense	(7)	-	-
(Loss)/Profit for the financial year, representing total comprehensive (loss)/income for the financial year		(4,891)	83,145

The accompanying notes form an integral part of these financial statements.

JOYLIVE ASIA PACIFIC PTE. LTD.
(Incorporated in the Republic of Singapore)

STATEMENT OF FINANCIAL POSITION
AS AT 31 DECEMBER 2024

	Note	2024 S$	2023 S$
ASSETS			
Non-current asset			
Investment in a subsidiary	(8)	172,969	172,969
Current asset			
Cash at bank	(9)	82,900	88,948
Total assets		255,869	261,917
EQUITY AND LIABILITIES			
Equity			
Share capital	(10)	500,000	500,000
Share application money	(11)	200,000	200,000
Accumulated losses		(797,391)	(792,500)
Equity attributable to owner of the Company		(97,391)	(92,500)
Current liabilities			
Trade payable	(12)	243,063	238,720
Other payables and accruals	(13)	110,197	115,697
		353,260	354,417
Total liabilities		353,260	354,417
Total equity and liabilities		255,869	261,917

The accompanying notes form an integral part of these financial statements.

JOYLIVE ASIA PACIFIC PTE. LTD.
(Incorporated in the Republic of Singapore)

STATEMENT OF CHANGES IN EQUITY
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2024

	Share capital S$	Share application money S$	Accumulated losses S$	Total S$
At 1 January 2023	500,000	200,000	(875,645)	(175,645)
Profit for the financial year, representing total comprehensive income for the financial year	-	-	83,145	83,145
At 31 December 2023	500,000	200,000	(792,500)	(92,500)
At 1 January 2024	500,000	200,000	(792,500)	(92,500)
Loss for the financial year, representing total comprehensive loss for the financial year	-	-	(4,891)	(4,891)
At 31 December 2024	500,000	200,000	(797,391)	(97,391)

The accompanying notes form an integral part of these financial statements.

JOYLIVE ASIA PACIFIC PTE. LTD.
(Incorporated in the Republic of Singapore)

STATEMENT OF CASH FLOWS
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2024

	2024 S$	2023 S$
CASH FLOWS FROM OPERATING ACTIVITIES		
(Loss)/Profit before tax, representing operating (loss)/profit before working capital changes	(4,891)	83,145
Trade payable	4,343	140,720
Other payables and accruals	(5,500)	2,300
Net cash (used in)/generated from operating activities	(6,048)	226,165
CASH FLOW FROM INVESTING ACTIVITY		
Investment in a subsidiary, representing net cash used in investing activity	-	(172,969)
Net (decrease)/increase in cash and cash equivalents	(6,048)	53,196
Cash and cash equivalents at the beginning of the financial year	88,948	35,752
Cash and cash equivalents at the end of the financial year	82,900	88,948

Note: Cash and cash equivalents comprise cash at bank.

The accompanying notes form an integral part of these financial statements.

These notes form an integral part of and should be read in conjunction with the accompanying financial statements.

1. CORPORATE INFORMATION

Joylive Asia Pacific Pte. Ltd. (the "Company") is incorporated and domiciled in Singapore with its registered office and principal place of business at 26B Serangoon Avenue 1, Singapore 556143.

The principal activities of the Company are those of installation, selling, repair and servicing of elevator. However, the Company is dormant during the financial year.

The immediate and ultimate holding company is Joylive Elevator Co., Ltd, which is incorporated in China.

2. MATERIAL ACCOUNTING POLICY INFORMATION

2.1 Basis of preparation

The financial statements of the Company have been drawn up in accordance with Financial Reporting Standards in Singapore (FRSs). The financial statements have been prepared on the historical cost basis except as disclosed in the accounting policies below.

The financial statements are presented in Singapore Dollars ("S$"), which is the Company's functional currency.

The financial statements of the Company have been prepared on the basis that it will continue to operate as a going concern.

2.2 Adoption of new and amended standards and interpretations

The accounting policies adopted are consistent with those of the previous financial year except that in the current financial year, the Company has adopted all the new and amended standards which are relevant to the Company and are effective for annual financial periods beginning on or after 1 January 2024. The adoption of these standards did not have any material effect on the financial performance or position of the Company.

2.3 Standards issued but not yet effective

A number of new standards and amendments to standard that have been issued are not yet effective and have not been applied in preparing these financial statements.

2. MATERIAL ACCOUNTING POLICY INFORMATION (CONT'D)

2.3 Standards issued but not yet effective (cont'd)

Description	Effective for annual periods beginning on or after
Amendments to FRS 21 *The Effects of Changes in Foreign Exchange Rates*: Lack of Exchangeability	1 January 2025
Amendments to FRS 109 *Financial instruments* and FRS 107 *Financial instruments: Disclosures:* Amendments to the Classification and Measurement of Financial Instruments	1 January 2026
Annual Improvement to FRSs Volume 11	1 January 2026
FRS 118 *Presentation and Disclosure in Financial Statements*	1 January 2027
FRS 119 *Subsidiaries without Public Accountability: Disclosures*	1 January 2027
Amendments to FRS 110 *Consolidated Financial Statements* and FRS 28 *Investments in Associates and Joint Ventures:* Sale or Contribution of Assets between an Investor and its Associate or Joint Venture	Date to be determined

The directors expect that the adoption of the new and amended standards above will have no material impact on the financial statements in the year of initial application.

2.4 Foreign currency transactions and balances

Transactions in foreign currencies are measured in the functional currency of the Company and are recorded on initial recognition in the functional currency at exchange rates approximating those ruling at the transaction dates. Monetary assets and liabilities denominated in foreign currencies are translated at the rate of exchange ruling at the reporting date. Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rates as at the dates of the initial transactions.

Exchange differences arising on the settlement of monetary items or on translating monetary items at the end of the reporting period are recognised in profit or loss.

2.5 Revenue

Revenue is measured based on the consideration to which the Company expects to be entitled in exchange for transferring promised goods or services to a customer, excluding amounts collected on behalf of third parties.

Revenue is recognised when the Company satisfies a performance obligation by transferring a promised good or service to the customer, which is when the customer obtains control of the good or service. A performance obligation may be satisfied at a point in time or over time. The amount of revenue recognised is the amount allocated to the satisfied performance obligation.

2. MATERIAL ACCOUNTING POLICY INFORMATION (CONT'D)

2.5 Revenue (cont'd)

Sale of goods

Revenue from sale of goods was recognised at a point-in-time upon the transfer of significant risks and rewards of ownership of the goods to the customers. Revenue was not recognised to extent where there were significant uncertainties regarding the recovery of the consideration due, associated cost or possible return of goods.

2.6 Consolidated financial statements and holding companies

Consolidated financial statements have not been prepared to consolidate the financial statements of its subsidiary as the Company is a wholly-owned subsidiary of Joylive Elevator Co., Ltd, which is incorporated in China, prepares consolidated financial statements which are available for public use. The consolidated financial statements can be obtained from Junziting West Road, Zhengyi Town, Kunshan, Jiangsu Province, 215300 China.

Subsidiaries are entities controlled by the Company. Control exists when the Company has the power, directly or indirectly, to govern the financial and operating policies of an entity so as to obtain benefits from its activities.

In the Company's financial statements, investment in a subsidiary is carried at cost less accumulated impairment losses, if any.

2.7 Taxes

(a) Current income tax

Current income tax assets and liabilities for the current and prior periods are measured at the amount expected to be recovered from or paid to the taxation authority. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted at the reporting date.

Current income taxes are recognised in profit or loss except to the extent that the tax relates to items recognised outside profit or loss, either in other comprehensive income or directly in equity. Management periodically evaluates positions taken in the tax returns with respect to situations in which applicable tax regulations are subject to interpretation and establishes provisions where appropriate.

(b) Deferred tax

Deferred tax is provided using the liability method on temporary differences at the end of the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the year when the asset is realised or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted by the end of the reporting period.

2. MATERIAL ACCOUNTING POLICY INFORMATION (CONT'D)

2.7 Taxes (cont'd)

(b) Deferred tax (cont'd)

Deferred tax assets and deferred tax liabilities are offset, if a legally enforceable right exists to set off current income tax assets against current income tax liabilities and the deferred taxes relate to the same taxable entity and the same taxation authority.

2.8 Impairment of non-financial assets

The Company assesses at each reporting date whether there is an indication that an asset may be impaired. If any indication exists, (or, where applicable, when an annual impairment testing for an asset is required), the Company makes an estimate of the asset's recoverable amount.

An asset's recoverable amount is the higher of an asset's or cash-generating unit's fair value less costs of disposal and its value in use and is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or group of assets. Where the carrying amount of an asset or cash-generating unit exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

Impairment losses are recognised in profit or loss.

A previously recognised impairment loss is reversed only if there has been a change in the estimates used to determine the asset's recoverable amount since the last impairment loss was recognised. If that is the case, the carrying amount of the asset is increased to its recoverable amount. That increase cannot exceed the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognised previously. Such reversal is recognised in profit or loss.

2.9 Financial instruments

(a) Financial assets

<u>Initial recognition and measurement</u>

Financial assets are recognised when, and only when the entity becomes party to the contractual provisions of the instruments.

At initial recognition, the Company measures a financial asset at its fair value plus, in the case of a financial asset not at Fair Value through Profit or Loss (FVPL), transaction costs that are directly attributable to the acquisition of the financial asset. Transaction costs of financial assets carried at FVPL are expensed in profit or loss.

2. MATERIAL ACCOUNTING POLICY INFORMATION (CONT'D)

2.9 Financial instruments (cont'd)

(a) Financial assets (cont'd)

Subsequent measurement

Debt instruments

Subsequent measurement of debt instruments depends on the Company's business model for managing the asset and the contractual cash flow characteristics of the assets. The three measurement categories for classification of debt instruments are amortised cost, Fair Value through Other Comprehensive (FVOCI) and FVPL. The Company only has debt instruments at amortised cost.

Financial assets that are held for the collection of contractual cash flows where those cash flows represent solely payments of principal and interest are measured at amortised cost. Financial assets are measured at amortised cost using the effective interest method, less impairment. Gains and losses are recognised in profit or loss when the assets are derecognised or impaired, and through the amortisation process.

Derecognition

A financial asset is derecognised where the contractual right to receive cash flows from the asset has expired. On derecognition of a financial asset in its entirety, the difference between the carrying amount and the sum of the consideration received and any cumulative gain or loss that had been recognised in other comprehensive income for debt instruments is recognised in profit or loss.

(b) Financial liabilities

Initial recognition and measurement

Financial liabilities are recognised when, and only when, the Company becomes a party to the contractual provisions of the financial instrument. The Company determines the classification of its financial liabilities at initial recognition.

All financial liabilities are recognised initially at fair value plus in the case of financial liabilities not at FVPL, directly attributable transaction costs.

Subsequent measurement

After initial recognition, financial liabilities that are not carried at FVPL are subsequently measured at amortised cost using the effective interest method. Gains and losses are recognised in profit or loss when the liabilities are derecognised, and through the amortisation process.

2. MATERIAL ACCOUNTING POLICY INFORMATION (CONT'D)

2.9 Financial instruments (cont'd)

(b) Financial liabilities (cont'd)

Derecognition

A financial liability is derecognised when the obligation under the liability is discharged or cancelled or expires. On derecognition, the difference between the carrying amounts and the consideration paid is recognised in profit or loss.

2.10 Impairment of financial assets

The Company recognises an allowance for expected credit losses (ECLs) for all debt instruments not held at FVPL. ECLs are based on the difference between the contractual cash flows due in accordance with the contract and all the cash flows that the Company expects to receive, discounted at an approximation of the original effective interest rate. The expected cash flows will include cash flows from the sale of collateral held or other credit enhancements that are integral to the contractual terms.

ECLs are recognised in two stages. For credit exposures for which there has not been a significant increase in credit risk since initial recognition, ECLs are provided for credit losses that result from default events that are possible within the next 12-months (a 12-months ECL). For those credit exposures for which there has been a significant increase in credit risk since initial recognition, a loss allowance is recognised for credit losses expected over the remaining life of the exposure, irrespective of timing of the default (a lifetime ECL).

The Company may consider a financial asset to be in default when internal or external information indicates that the Company is unlikely to receive the outstanding contractual amounts in full before taking into account any credit enhancements held by the Company. A financial asset is written off when there is no reasonable expectation of recovering the contractual cash flows.

2.11 Cash and cash equivalents

Cash and cash equivalents comprise cash at banks which are subject to an insignificant risk of changes in value. These also include bank overdrafts that form an integral part of the Company's cash management.

2.12 Share capital

Proceeds from issuance of ordinary shares are recognised as share capital in equity. Incremental costs directly attributable to the issuance of ordinary shares are deducted against share capital.

2. MATERIAL ACCOUNTING POLICY INFORMATION (CONT'D)

2.13 Provisions

Provisions are recognised when the Company has a present obligation (legal or constructive) as a result of a past event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and the amount of the obligation can be estimated reliably.

Provisions are reviewed at the end of each reporting period and adjusted to reflect the current best estimate. If it is no longer probable that an outflow of economic resources will be required to settle the obligation, the provision is reversed. If the effect of the time value of money is material, provisions are discounted using a current pre-tax rate that reflects, where appropriate, the risks specific to the liability. When discounting is used, the increase in the provision due to the passage of time is recognised as a finance cost.

3. SIGNIFICANT ACCOUNTING JUDGEMENTS AND ESTIMATES

The preparation of the Company's financial statements requires management to make judgements, estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities, and the disclosure of contingent liabilities at the end of each reporting period. Uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of the asset or liability affected in the future periods.

3.1 Judgements made in applying accounting policies

Determination of functional currency

In determining the functional currency of the Company, judgement is used by the Company to determine the currency of the primary economic environment in which the Company operates. Consideration factors include the currency that mainly influences sales prices of goods and services and the currency of the country whose competitive forces and regulations mainly determines the sales prices of its goods and services.

3.2 Key sources of estimation uncertainty

The key assumptions concerning the future and other key sources of estimation uncertainty at the end of the reporting period are discussed below. The Company based its assumptions and estimates on parameters available when the financial statements were prepared. Existing circumstances and assumptions about future developments, however, may change due to market changes or circumstances arising beyond the control of the Company. Such changes are reflected in the assumptions when they occur.

3. SIGNIFICANT ACCOUNTING JUDGEMENTS AND ESTIMATES (CONT'D)

3.2 Key sources of estimation uncertainty (cont'd)

(a) Impairment of investment in a subsidiary

The management follows the guidance of FRS 36 – Impairment of Assets, in determining whether investment in a subsidiary is impaired requires assumption to be made regarding the duration and extent to which the fair value of an investment is less than costs and the financial health of and near-term business outlook for the investment, including factors such as industry and sector performance, changes in technology and operational and financing cash flow.

Management's assessment for impairment of investment in a subsidiary is based on the estimation of value in use of the cash generating unit ('CGU") by forecasting the expected future cash flows, using a suitable discount rate in order to calculate the present value of those cash flows.

The carrying amount of investment in a subsidiary is disclosed in Note 8 to the financial statements.

(a) Income tax

Significant judgement is involved in determining the provision for income tax. There are certain transactions and computations for which the ultimate tax determination is uncertain during the ordinary course of business. The Company recognises liabilities for expected tax issues based on estimates of whether additional tax will be due. Where the final tax outcome of these matters is different from the amounts that were initially recorded, such differences will impact the income tax and deferred tax provisions in the period in which such determination is made.

4. REVENUE

	2024 S$	2023 S$
Type of goods		
Sale of goods	-	444,341
Timing of transfer of goods		
At a point in time	-	444,341

5. OTHER INCOME

	2024 S$	2023 S$
Foreign exchange gain	-	2,645

6. (LOSS)/PROFIT BEFORE TAX

(Loss)/Profit before tax has been arrived at after charging:

	2024 S$	2023 S$
Professional fees	-	6,500

7. INCOME TAX EXPENSE

Relationship between tax expense and accounting (loss)/profit

A reconciliation between tax expense and the product of accounting (loss)/profit multiplied by the applicable corporate tax rate for the financial years ended 31 December 2024 and 2023 were as follows:

	2024 S$	2023 S$
(Loss)/Profit before tax	(4,891)	83,145
Income tax using the statutory tax rate of 17%	(831)	14,135
Adjustments:		
- Non-deductible expenses	831	-
- Income not subject to tax	-	(450)
- Utilisation of unabsorbed tax losses	-	(13,685)
Income tax expense recognised in profit or loss	-	-

Deferred tax assets not recognised

The component of deferred tax assets not recognised is as follows:

	2024 S$	2023 S$
Unabsorbed tax losses	123,779	123,779

Deferred income tax assets are recognised for tax losses carried forward to the extent that realisation of the related tax benefits through future taxable profits is probable. The Company has unrecognised tax losses of S$728,110 (2023: S$728,110) at the reporting date which can be carried forward and used to offset against future taxable income subject to meeting certain statutory requirements. The tax losses have no expiry date.

8. INVESTMENT IN A SUBSIDIARY

	2024 S$	2023 S$
Unquoted equity shares, at cost	172,969	172,969

Details of the subsidiary are as follows:

Name of subsidiary	Principal activities	Country of incorporation and place of business	Effective equity interest held	
			2024 %	2023 %
* Ishimoto Technology Vietnam Company Limited	Import and wholesale of distribution of goods	Vietnam	100	100

* *Not acting as auditors*

9. CASH AT BANK

Cash at bank is denominated in the following currencies:

	2024 S$	2023 S$
Singapore Dollar	39,338	35,648
United States Dollar	43,562	53,300
	82,900	88,948

10. SHARE CAPITAL

	2024 S$	2023 S$
Issued and fully paid 500,000 (2023: 500,000) ordinary shares	500,000	500,000

The holder of ordinary shares is entitled to receive dividends as and when declared by the Company. All ordinary shares carry one vote per share without restrictions. The ordinary shares have no par value.

11. SHARE APPLICATION MONEY

	2024 S$	2023 S$
Fund received		
At 1 January and 31 December	200,000	200,000

Share application money relates to fund received in advance towards proposed further increase of share capital in the following financial year.

12. TRADE PAYABLE

	2024 S$	2023 S$
Immediate and ultimate holding company	243,063	238,720

Trade payable is non-interest bearing and normally settled on 90 days' (2023: 90 days') terms.

Trade payable is denominated in the following currencies:

	2024 S$	2023 S$
Singapore Dollar	98,000	98,000
United States Dollar	145,063	140,720
	243,063	238,720

13. OTHER PAYABLES AND ACCRUALS

	2024 S$	2023 S$
Other payables		
- Immediate and ultimate holding company	60,372	60,372
- Related party	49,025	49,025
- Third party	800	-
	110,197	109,397
Accruals	-	6,300
	110,197	115,697

Other payables relate to non-trade payables to immediate and ultimate holding company and a related party. They are unsecured, non-interest bearing and repayable on demand, except for an amount of S$800 (2023: S$ NIL) due to a third party has an average term of 3 months (2023: NIL).

13. OTHER PAYABLES AND ACCRUALS (CONT'D)

Other payables and accruals are denominated in the following currencies:

	2024 S$	2023 S$
Singapore Dollar	45,800	51,300
United States Dollar	64,397	64,397
	110,197	115,697

14. SIGNIFICANT RELATED PARTY TRANSACTIONS

A related party is defined as follows:

(a) A person or a close member of that person's family is related to the Company, if that person:

- (i) has control or joint control over the Company;
- (ii) has significant influence over the Company; or
- (iii) is a member of the key management personnel of the Company or of a parent of the Company.

(b) An entity is related to the Company if any of the following conditions applies:

- (i) The entity and the Company are members of the same group (which means that each parent, subsidiary and fellow subsidiary is related to the others);
- (ii) One entity is an associate or joint venture of the other entity (or an associate or joint venture of a member of a group of which the other entity is a member);
- (iii) Both entities are joint ventures of the same third party;
- (iv) One entity is a joint venture of a third entity and the other entity is an associate of the third entity;
- (v) The entity is a post-employment benefit plan for the benefit of employees of either the Company or an entity related to the Company. If the Company is itself such a plan, the sponsoring employers are also related to the Company;
- (vi) The entity is controlled or jointly controlled by a person identified in (a);
- (vii) A person identified in (a)(i) has significant influence over the entity or is a member of the key management personnel of the entity (or of a parent of the entity); and
- (viii) The entity, or any member of a group of which it is a part, provides key management personnel services to the Company or to the parent of the Company.

In addition to the related party information disclosed elsewhere in the financial statements, the following transactions with related parties took place at terms agreed between the parties during the financial year:

	2024 S$	2023 S$
With immediate and ultimate holding company		
Purchases	-	355,186

15. FINANCIAL RISK MANAGEMENT

The Company's activities expose it to a variety of financial risks from its operations. The key financial risks include market risk (including interest rate risk, foreign currency risk and price risk), credit risk and liquidity risk.

The directors review and agree policies and procedures for the management of these risks, which are executed by the management team. It is, and has been throughout the current and previous financial year, the Company's policy that no trading in derivatives for speculative purposes shall be undertaken.

The following sections provide details regarding the Company's exposure to the above-mentioned financial risks and the objectives, policies and processes for the management of these risks.

There has been no change to the Company's exposure to these financial risks or the manner in which it manages and measures the risks.

(a) Market risk

Market risk is the risk that changes in market prices, such as interest rates and foreign exchange rates will affect the Company's income. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimising the return on risk.

(i) Interest rate risk

Interest rate risk is the risk that the fair value or future cash flows of the Company's financial instruments will fluctuate because of changes in market interest rates. The Company's exposure to interest rate risk arises primarily from cash at bank.

The Company does not expect any significant effect on the Company's profit or loss arising from the effects of reasonably possible changes to interest rates on interest bearing financial instruments at the end of the financial year. Accordingly, sensitivity analysis is not disclosed.

(ii) Foreign currency risk

The Company's foreign exchange risk results mainly from cash flows from transactions denominated in foreign currencies. At present, the Company does not have any formal policy for hedging against currency risk.

The Company has transactional currency exposures arising from cash at bank, trade payable and other payables and accruals that are denominated in currency other than the functional currency of the Company, primarily the United States Dollar ("USD").

15. FINANCIAL RISK MANAGEMENT (CONT'D)

(a) Market risk (cont'd)

(ii) Foreign currency risk (cont'd)

The Company's currency exposures to the USD at the reporting date were as follows:

	2024 USD S$	2023 USD S$
Financial asset		
Cash at bank	43,562	53,300
Financial liabilities		
Trade payable	(145,063)	(140,720)
Other payables and accruals	(64,397)	(64,397)
	(209,460)	(205,117)
Currency exposures	(165,898)	(151,817)

A 10% strengthening of Singapore Dollar against the foreign currency denominated balances as at the reporting date would increase/(decrease) profit or loss by the amounts shown below. This analysis assumes that all other variables remain constant.

	Profit or loss (after tax)	
	2024 S$	2023 S$
United States Dollar	(13,770)	(12,601)

A 10% weakening of Singapore Dollar against the above currency would have had equal but opposite effect on the above currency to the amounts shown above, on the basis that all other variables remain constant.

(iii) Price risk

The Company is not exposed to price risk as the Company does not hold any listed securities.

15. FINANCIAL RISK MANAGEMENT (CONT'D)

(b) Credit risk

Financial assets that are potentially subject to concentrations of credit risk and failures by counterparties to discharge their obligations in full or in a timely manner. These arise principally from cash and cash equivalents. The maximum exposure to credit risk is the total of the fair value of the financial assets at the end of the reporting year. Credit risk on cash balances with banks is limited because the counter-parties are entities with acceptable credit ratings. For expected credit losses (ECL) on financial assets, the three-stage approach in the financial reporting standard on financial instruments is used to measure the impairment allowance. Under this approach the financial assets move through the three stages as their credit quality changes. However, a simplified approach is permitted by the financial reporting standards on financial instruments for financial assets that do not have a significant financing component, such as trade receivables. On initial recognition, a day-1 loss is recorded equal to the 12-month ECL (or lifetime ECL for trade receivables), unless the assets are considered credit impaired. For credit risk on trade receivables, an ongoing credit evaluation is performed on the financial condition of the debtors and an impairment loss is recognised in profit or loss. Reviews and assessments of credit exposure in excess of designated limits are made. Renewals and reviews of credits limits are subject to the same review process.

Cash at bank is also subject to the impairment requirements of the standard on financial instruments There was no identified impairment loss.

(c) Liquidity risk

Liquidity risk refers to the risk that the Company will encounter difficulties in meeting its short-term obligation due to shortage of funds. The Company's exposure to liquidity risk arises primarily from mismatches of the maturities of financial assets and liabilities. It is managed by matching the payment and receipts cycles. The Company finances its working capital requirements mainly through funds generated from operations and equity. The directors are satisfied that funds are available to finance the operations of the Company.

Analysis of financial instruments by remaining contractual maturities

The table below summarises the maturity profile of the Company's financial asset and liabilities at the reporting date based on contractual undiscounted repayment obligations.

15. FINANCIAL RISK MANAGEMENT (CONT'D)

(c) Liquidity risk (cont'd)

	2024		
	Carrying amount S$	Contractual cash flows S$	One year or less S$
Financial asset			
Cash at bank	82,900	82,900	82,900
Total undiscounted financial asset	82,900	82,900	82,900
Financial liabilities			
Trade payable	(243,063)	(243,063)	(243,063)
Other payables and accruals	(110,197)	(110,197)	(110,197)
Total undiscounted financial liabilities	(353,260)	(353,260)	(353,260)
Total net undiscounted financial liabilities	(270,360)	(270,360)	(270,360)

	2023		
	Carrying amount S$	Contractual cash flows S$	One year or less S$
Financial asset			
Cash at bank	88,948	88,948	88,948
Total undiscounted financial asset	88,948	88,948	88,948
Financial liabilities			
Trade payable	(238,720)	(238,720)	(238,720)
Other payables and accruals	(115,697)	(115,697)	(115,697)
Total undiscounted financial liabilities	(354,417)	(354,417)	(354,417)
Total net undiscounted financial liabilities	(265,469)	(265,469)	(265,469)

16. FINANCIAL INSTRUMENTS BY CATEGORY

At the reporting date, the aggregate carrying amounts of financial asset at amortised cost and financial liabilities at amortised cost were as follows:

	2024 S$	2023 S$
Financial asset measured at amortised cost		
Cash at bank (Note 9)	82,900	88,948
Total financial asset measured at amortised cost	82,900	88,948
Financial liabilities measured at amortised cost		
Trade payable (Note 12)	243,063	238,720
Other payables and accruals (Note 13)	110,197	115,697
Total financial liabilities measured at amortised cost	353,260	354,417

17. FAIR VALUE OF ASSET AND LIABILITIES

Asset and liabilities not measured at fair value

Cash at bank and other payables and accruals

The carrying amounts of these balances approximate their fair values due to the short-term nature of these balances.

Trade payable

The carrying amount of the balance approximate its fair value as the balance is subject to normal trade credit term.

18. CAPITAL MANAGEMENT

The primary objective of the Company's capital management is to ensure that it maintains a strong credit rating and healthy capital ratio in order to support its business and maximise shareholder's value. The capital of the Company comprised issued share capital, share application money and accumulated losses.

The Company manages its capital structure and makes adjustments to it, in light of changes in economic conditions. To maintain or adjust the capital structure, the Company may adjust the dividend payment to shareholder, return capital to shareholder or issue new shares. No changes were made in the objectives, policies or processes during the during the financial years ended 31 December 2024 and 31 December 2023.

The Company monitors capital on the basis of the gearing ratio. The ratio is calculated as net debt divided by total capital. Net debt is calculated as total borrowings (including trade payable and other payables and accruals) less cash at bank. Total capital is calculated as total equity, as shown in the statement of financial position, plus net debt.

18. CAPITAL MANAGEMENT (CONT'D)

No specific gearing ratio has been determined by management with the overall objective to keep the ratio as low as possible and such policy has not been changed since the previous financial year.

The gearing ratios at 31 December 2024 and 2023 were as follows:

	2024 S$	2023 S$
Net debt	270,360	265,469
Total equity	(97,391)	(92,500)
Total capital	172,969	172,969
Gearing ratio	1.56	1.53

The Company is not subject to any externally imposed capital requirements.

The Company's strategy remains consistent with last financial year.

19. AUTHORISATION OF FINANCIAL STATEMENTS FOR ISSUE

The financial statements for the financial year ended 31 December 2024 were authorised for issue in accordance with a resolution of the Board of Directors of the Company on 30 April 2025.